13 the average number of years between house moves

Interest-only mortgage

- Interest-only mortgages allow borrowers to repay just the interest on the amount they have borrowed, and not the principle itself.
- The bank gives the borrower a mortgage, for example $240,000, to purchase a property, and the borrower repays the interest on this amount via monthly repayments.
- Borrowers will need to ensure that they will be able to repay the mortgage at the end of the term.
- The amount paid each month will be lower than for repayment mortgages, but borrowers will usually need to put down larger deposits, demonstrate higher earnings, or have a better-than-average FICO score, in order to be given an interest-only mortgage.
- At the end of the loan period, the borrower either pays back the entire principle loan amount, in this case $240,000, or the property is sold in order to raise the money needed to repay the loan.

Reverse mortgages

- This type of mortgage allows a homeowner to access the value of a property that they fully own.
- People who opt for a reverse mortgage are usually elderly—in the UK, borrowers must be at least 55 years old to qualify for this type of mortgage, whereas in the US they must be at least 62.
- The bank lends the homeowner money against the value of their property (the equity) but there are usually high fees involved.
- The bank then pays this money to the homeowner in monthly installments, or occasionally in a lump sum.
- When the homeowner dies, their property is sold in order to repay the loan amount.
- Any remaining money from the sale of the property, after the loan amount has been repaid, goes to the beneficiaries in the homeowner's will.

NEED TO KNOW

- **Loan-to-value ratio (LTV)** Percentage of a property's value borrowed as a mortgage.
- **Security** Collateral for the loan; for mortgages, the property.
- **Remortgage** A different or additional loan taken out on a property.
- **Term** Years over which the mortgage is repaid.
- **Equity** Value of the property over the mortgage amount.
- **Negative equity** Value of the property being less than the mortgage amount.
- **Guarantor** A person who agrees to be responsible for meeting the mortgage repayments if the borrower fails to do so.

ISLAMIC MORTGAGES

The basic principle of an Islamic mortgage is that no interest should be paid. There are three types of Islamic mortgage:

- **The bank purchases** a property on behalf of a buyer, and leases it to them. At the end of the lease term, ownership is transferred to the buyer/tenant.
- **A buyer purchases** a property jointly with the bank, and pays rent on the portion they do not own. They then buy shares in the remaining portion of the property, and as their share increases, their rent decreases.
- **The bank buys** a property and sells it to a buyer, who makes fixed monthly repayments at a higher price than the original purchase cost.